

**CHAPTER xiii.**

An Act to confer further powers upon the Commercial Gas Company and for other purposes.
[22nd May 1940.]

WHEREAS the Commercial Gas Company (in this Act referred to as "the Company") were originally incorporated by the Commercial Gas Act 1847 :

10 & 11
Vict. c. liii.
15 & 16
Vict. c. clv.

And whereas by the Commercial Gas Act 1852 the said Act of 1847 was repealed and the Company were continued and under the provisions of the said Act of 1852 and subsequent Acts the Company supply gas within the metropolitan boroughs of Bethnal Green Poplar and Stepney in the administrative county of London and parts of the county borough of West Ham :

And whereas by section 9 of the Commercial Gas Act 1927 it is enacted that save as provided by that section the provisions of the Gas Regulation Act 1920 shall not apply to the Company and it is expedient that the procedure by special order under section 10 of the said Act of 1920 should be made available to the Company as by this Act provided :

17 & 18
Geo. 5. c. ix.
10 & 11
Geo. 5.
c. 28.

And whereas it is expedient that the powers in this Act mentioned should be conferred upon the Company and that such other provisions should be made as are in this Act contained :

And whereas the objects aforesaid cannot be attained without the authority of Parliament :

May it therefore please Your Majesty that it may be enacted and be it enacted by the King's most Excellent Majesty by and with the advice and consent of the Lords Spiritual and Temporal and Commons in this present Parliament assembled and by the authority of the same as follows (that is to say):—

Short title.

1. This Act may be cited as the Commercial Gas Act 1940.

Interpre-
tation.

2. In this Act unless there is something in the subject or context repugnant to such construction the expression—

“The Company” means the Commercial Gas Company;

“The Act of 1927” means the Commercial Gas Act 1927;

22 & 23
Geo. 5.
c. lxvi.

“The Act of 1932” means the Commercial Gas Act 1932;

“The undertaking” means the undertaking of the Company for the time being authorised;

“The directors” means the directors of the Company;

“The limits of supply” means the limits within which the Company are for the time being authorised to supply gas;

“Consumer” means any consumer of gas supplied by the Company within the limits of supply;

“Magistrate” means any police or stipendiary magistrate acting in and for the district in which the matter referred to him arises.

Power to
Company
to obtain
special
orders.

3.—(1) Notwithstanding anything in section 9 (Saving for certain provisions of Act of 1920) of the Act of 1927 the provisions of section 10 of the Gas Regulation Act 1920 which relates to the making of special orders by the Board of Trade shall apply to the Company and the Board of Trade may accordingly on the application of the Company make special orders under the said section 10 with respect to the undertaking.

(2) References in the said section 9 and in this section to any provision of the Gas Regulation Act 1920 shall be construed as references to that provision as amended or extended by any subsequent enactment.

4.—(1) All ordinary or preference stock issued at any time after the passing of this Act under any powers of the Company in that behalf may be issued by the directors (whether the ordinary stock of the Company is or is not at a premium at the date of such issue) at their option either—

As to
issue of
ordinary or
preference
stock.

(a) in accordance with the provisions of section 3 (As to mode of issue of stock) of the Act of 1932 (as amended by the Gas Undertakings Act 1934); or

24 & 25
Geo. 5.
c. 28.

(b) in accordance with the provisions of section 4 (Power to offer new stock for public subscription) of the Act of 1932; or

(c) to such persons at such price or prices on such terms and conditions and in such manner as the directors may determine to be most expedient for the purpose of realising the best price obtainable:

Provided that any stock issued under the foregoing paragraph (c) shall be issued at a price not less by more than five per centum than the average market price of any existing stock of the Company of the same class or if there be no such existing class then a price bearing in the case of ordinary stock to the average market price of any existing ordinary stock and in the case of preference stock to the average market price of any existing preference stock the same proportion as the rate of dividend assigned to the stock so issued bears to the rate of dividend assigned to such existing stock.

For the purposes of this proviso "the average market price" means the average of the mean daily quotations recorded in the London Stock Exchange daily list of officially quoted securities during the fourteen days immediately preceding the date of issue due allowance being made for any anticipated dividend:

Provided also that nothing in this subsection shall authorise the issue under the foregoing paragraph (c) of any redeemable preference stock at a price less by

more than five per centum than the price at which such stock is to be redeemable or so as to be redeemable at a date less than fifteen years after the date of issue.

(2) It shall be one of the conditions of an issue of stock under paragraph (c) of subsection (1) of this section that the total sum payable by the persons to whom such stock is issued shall be paid to the Company within three months after the date of such issue.

(3) The foregoing provisions of this section shall not apply to any stock issued to the holder of any redeemable preference stock by way of redemption of or in substitution for such redeemable stock and the directors may without any further or other authority issue any stock created by the Company which may be required for any of the said purposes.

(4) Except as hereinbefore expressly provided the provisions of this section shall as respects the Company be in substitution for the provisions of subsections (1) (2) and (3) of section 1 of the Gas Undertakings Act 1934.

Borrowing
powers.

5. Notwithstanding anything in any enactment the Company may borrow for the purposes of the undertaking on mortgage of the undertaking or by the creation and issue of debenture stock an amount not exceeding (together with any sums which the Company have so borrowed at the date of the passing of this Act) the aggregate amount of the paid-up capital for the time being of the undertaking and of any premiums paid in respect thereof.

Priority of
principal
moneys
secured by
existing
mortgages.

6. The principal moneys secured by all mortgages granted by the Company in pursuance of the powers of any Act or Order before the date of the passing of this Act and subsisting at that date shall during the continuance of such mortgages have priority over the principal moneys secured by any mortgage granted by the Company after the date of the passing of this Act.

Provision
for capital
redemption
and
deprecia-
tion.

7.—(1) The directors may if they think fit in any year appropriate out of the revenue of the Company as part of the expenditure on revenue account any sum not exceeding ten thousand pounds and shall carry the same to a fund to be called the capital redemption fund.

(2) The directors may from time to time in respect of capital not represented by available assets apply the sums credited to the said fund either in purchasing ordinary or preference shares or stock of the Company or in writing down in the books of the Company the amount of expenditure on capital account of the undertaking to an extent equivalent to the amount so appropriated.

(3) All sums applied under the provisions of this section in writing down the amount of expenditure on capital account shall be carried to the credit of the capital account and shown therein as a separate item.

(4) All shares or stock purchased under the provisions of this section shall immediately after the purchase thereof be cancelled and shall thenceforth be taken to be extinguished in the books of the Company. Provided always that all stock so purchased otherwise than in the open market shall be purchased at as near as may be the average market price of the same class of stock during the six months immediately preceding such purchase.

(5) The directors shall not re-issue any shares or stock which shall have been cancelled under the provisions of this section.

(6) Nothing in this section shall empower the Company to appropriate to the capital redemption fund any greater sum in the aggregate than will with any interest accrued thereon amount to one hundred and twenty-five thousand pounds.

8. Sections 8 (Purchase and cancellation of ordinary stock) and 9 (Exchange of stocks) of the Act of 1932 shall be read and have effect as if the words "five hundred thousand" had been substituted therein for the words "three hundred and fifty thousand."

Amend-
ment of
sections
8 and 9
of Act of
1932.

9.—(1) The Company may at any time purchase by agreement any stock of the Company at a price not exceeding the market value thereof and for that purpose may apply any moneys for the time being in their hands which they are entitled to apply to capital purposes.

Purchase
and
cancella-
tion of
Company's
securities.

(2) Any stock purchased under the provisions of this section shall be cancelled.

Renewal
fund.

10.—(1) The directors may if they think fit in any year appropriate out of the revenue of the Company as part of the expenditure on revenue account any sum not exceeding an amount equal to one-half of one per centum of the capital of the Company to a fund to be called the “renewal fund.”

(2) The renewal fund shall be applicable only to meet expenses requisite for the maintenance and renewal of plant and works (other than expenses incurred in the replacement or removal of plant or works) and shall be so applied from time to time for the purposes of equalising so far as may be the annual charge to revenue in respect of such expenses.

(3) The maximum amount standing to the credit of the renewal fund shall not at any time exceed an amount equal to five per centum of the capital of the Company.

(4) In this section the expression “capital” means the aggregate amount of the paid-up capital of the Company of any premiums paid in respect thereof and of any sums which have been raised by the Company on mortgage or the creation and issue of debenture stock.

Variation
of declared
calorific
value.

11.—(1) If at any time the Company intend to alter the declared calorific value in the whole or any part of the limits of supply the Company shall by advertisement in the London Gazette and by notice in writing to the Board of Trade and to the London County Council and the council of each metropolitan and county borough within or partly within the limits of supply or such part of the limits of supply as the case may be declare their intention to supply within the limits of supply or such part thereof as may be specified in such notice at the expiration of three months from the date of such notice or at such later date as may be specified in such notice gas of such calorific value as may be declared in such notice and the calorific value as so declared by the Company shall thereafter be the declared calorific value within the limits of supply or such part thereof as may be specified in such notice unless and until varied by subsequent declaration under the provisions of this section:

Provided that this section shall have effect as respects the charges to any particular consumer as from the first reading by the Company of that consumer's meter after the date on which the alteration of the declared calorific value takes effect and not earlier:

Provided also that during the continuance of the present war the expression "one month" shall be deemed to be substituted for the expression "three months."

(2) For the purposes of this section "the declared calorific value" means the calorific value of the gas which the Company are for the time being bound to supply under the Act of 1927 or under any declaration in force under that Act or this section.

12. In addition to the powers conferred upon them by section 4 of the Gas Undertakings Act 1929 the Company may purchase and may sell liquid butane or liquid propane or any other similar liquid which is intended to be converted into gas and which is derived from a process other than the process of carbonisation or gasification of coal or coke and may also use such liquid for the enrichment of gas supplied by them.

Extension
of section 4
of Gas
Under-
takings
Act 1929.
19 & 20
Geo. 5.
c. 24.

13.—(1) The Company may for the purpose of supplying gas to the owner or occupier of any premises within the limits of supply exercise with respect to any street or part of a street outside those limits the like powers of breaking up the same for the purposes of laying maintaining inspecting repairing and renewing pipes as are exerciseable by them with respect to streets within the limits of supply subject nevertheless to the observance of the conditions imposed on the exercise of those powers therein.

As to
streets
outside
limits
of supply.

(2) Nothing in this section shall entitle or require the Company to supply gas to the owner or occupier of any premises outside the limits of supply.

(3) In this section the word "street" includes any square court or alley highway lane road thoroughfare or public passage or place.

14. Nothing in section 13 (As to streets outside limits of supply) of this Act shall relieve the Company from the observance of any requirements contained in the City of London Sewers Act 1848 with respect to the breaking up of streets within the city of London.

For protec-
tion of cor-
poration of
city of
London.
11 & 12 Vict.
c. clxiii.

Further
power to
lay pipes
in private
streets.
10 & 11
Vict. c.15.

15.—(1) If pursuant to the provisions of sections 6 to 12 of the Gasworks Clauses Act 1847 with respect to the breaking up of streets for the purpose of laying pipes the Company desire to lay or place any pipe or other works in any street laid out and formed but not dedicated to public use and the owner or occupier of the soil or pavement of the street withholds his consent under section 7 of the said Act of 1847 to the laying or placing of the pipe or other works in the street or attaches to his consent terms or conditions which in the opinion of the Company are unreasonable the Company may apply to a court of summary jurisdiction acting for the petty sessional division in which the street is situate to dispense with the consent of such owner or occupier or to amend or annul the terms and conditions attached by the owner or occupier to his consent.

(2) If on any such application by the Company the court is of the opinion that the consent of the owner or occupier has been unreasonably withheld or that the terms or conditions attached by the owner or occupier to his consent are unreasonable the court may by order authorise the Company to lay or place such pipe or other works in the street without the consent of such owner or occupier but subject to such terms and conditions (if any) as the court may by the order prescribe and on the making of the order the Company may exercise with respect to the street the powers of section 6 of the said Act of 1847 but subject to the provisions of sections 8 to 12 of the said Act of 1847 and to the terms and conditions (if any) prescribed by the order :

Provided that in the application of the provisions of the said sections 8 to 12 of the said Act of 1847 to any street which has been laid out and formed but not dedicated to public use the persons having the control or management of the street shall be deemed to include the authority by whom the street would be maintained or repaired if it became a highway repairable by the inhabitants at large and the notice in writing required by the said section 8 and a copy of the plan referred to in section 9 of the said Act of 1847 shall be served on those persons.

(3) (a) Notwithstanding the foregoing provisions of this section if any street in which the Company

desire to lay or place any pipe or other works pursuant to subsection (1) of this section is vested in or under the control of the Port of London Authority the Lee Conservancy Board or the Grand Union Canal Company (each of whom is in this subsection referred to as "the undertakers") then in relation to that street—

- (i) subsections (1) and (2) of this section shall have effect as if references to an arbitrator were substituted therein for references to a court of summary jurisdiction; and
- (ii) any difference between the Company on the one hand and the undertakers on the other hand with respect to the plan referred to in section 9 of the said Act of 1847 shall be determined by an arbitrator instead of by a court of summary jurisdiction.

(b) Any question or difference which pursuant to paragraph (a) of this subsection is required to be referred to or determined by an arbitrator shall be referred to or determined by a single arbitrator to be agreed between the Company and the undertakers or failing agreement to be appointed by the President of the Institution of Civil Engineers on the application of either party after notice in writing to the other of them and subject as aforesaid the provisions of the Arbitration Acts 1889 to 1934 shall apply to any such arbitration.

(4) Notwithstanding the foregoing provisions of this section if any street in which the Company desire to lay or place any pipe or other works pursuant to subsection (1) of this section belongs to a railway company or the London Passenger Transport Board then in relation to that street the provisions of subsections (4) and (6) of section 23 of the Act of 1932 shall apply as if the pipe or other works were being laid in pursuance of the said section 23 and as if the London Passenger Transport Board were included in the expression "railway company."

(5) Nothing in this section shall limit the powers of the Company under section 23 (Power to lay pipes in private streets) of the Act of 1932.

For protection of
London
County
Council.

16. The following provisions for the protection of the London County Council (in this section referred to as "the council") shall apply and have effect (that is to say):—

(1) The provisions of section 13 (As to streets outside limits of supply) of this Act shall not apply to any tunnel or the carriageways or footways thereof belonging to or under the jurisdiction of the council except with the consent in writing of the council and subject to such terms and conditions either as to the payment of rent or other valuable consideration or otherwise as the council may determine:

(2) No order shall be made under subsection (2) of section 15 (Further power to lay pipes in private streets) of this Act in respect of any street belonging to the council unless the court is satisfied that notice of the intention to make the application specifying the time and place at which it is to be made and the order which will be asked for has at least twenty-eight days before the date on which the application is made been served by registered post on the council. On the hearing of such an application the council shall have a right to be heard.

Contracts
by
directors.

17. For the purpose of section 25 (Directors holding office under or contracting with Company) of the Act of 1927 a general notice given to the directors by one of them to the effect that he is a member of a specified company or firm and is to be regarded as interested in any contract which may after the date of the notice be made with that company or firm shall be deemed to be a sufficient declaration of interest in relation to any contract so made.

Substitution of
card index
for stock-
holders'
address
book.
8 & 9 Vict.
c. 16.

18. Notwithstanding anything in section 10 of the Companies Clauses Consolidation Act 1845 the Company may substitute for the stockholders' address book provided under that section or for the portion of any register which the Company may keep under section 20 (Register of stockholders and stockholders'

address book) of the Act of 1932 containing such particulars as are required by the said Act of 1845 to be entered in the stockholders' address book a card or other index (of a type to be approved by the auditors of the Company) containing the names and addresses of the several stockholders of the Company and the said section 10 in its application to the Company shall be read and have effect accordingly.

19. The Company shall not be bound to see to the execution of any trusts whether express implied or constructive to which any stock or debenture stock may be subject and the provisions of section 20 of the Companies Clauses Consolidation Act 1845 shall *mutatis mutandis* extend and apply to any stock or debenture stock of the Company as if such stock or debenture stock were shares to which that section applies.

Company
not bound
to regard
trusts.

20. Where two or more persons are jointly entitled to or are registered in the books of the Company as the joint holders of any stock of any class or description or any mortgage or debenture stock of the Company the receipt of any of such persons shall (in the event of no notice to the contrary being served upon the Company from the other or others of such persons) be a sufficient discharge to the Company for any dividend interest or other sum of money payable in respect of such stock mortgage or debenture stock the receipt whereof is acknowledged by such receipt.

Receipts
in cases
of joint
holders
&c.

21.—(1) The Company may with the consent in writing of any consumer charge him for the hire of a prepayment meter with fittings to be used therewith a sum of money which is not calculated in accordance with the provisions of section 12 (Charges for hire of prepayment meters) of the Act of 1932 and in such case the Company may make a separate periodical charge as if such prepayment meter were an ordinary meter Provided that—

As to
prepay-
ment
meter
charges.

- (a) Before obtaining the consent of any consumer under this subsection the Company shall supply to the consumer a statement in writing of his right to be charged for the hire of a prepayment meter and fittings to be used therewith in accordance with the provisions of

section 12 of the Act of 1932 as an alternative to the method of charge authorised by this subsection and a summary of the provisions of the said section 12 shall be set out in such statement;

- (b) Any periodical charge made by the Company under this subsection shall include the providing letting fixing repairing and maintenance of the prepayment meter and of the fittings to be used therewith and the cost of collection inspection and any other cost incurred by the Company in connection with the prepayment meter and fittings.

63 & 64
Vict.
c. cclxxii.

(2) Section 6 of the Metropolis Gas (Prepayment Meter) Act 1900 which relates to receipts for money shall apply as if the periodical charge made by the Company under subsection (1) of this section were the rate in respect of meters and fittings charged therewith under that Act.

(3) In this section the expressions "prepayment meter" and "fittings" respectively have the same respective meanings as in the said section 12 of the Act of 1932.

Power to
fix gas
fittings
&c.

22. The Company may fix repair and remove pipes fittings and other apparatus used in connection with the consumption of gas and may provide all materials and work necessary or proper in that behalf and with respect thereto may demand and take such remuneration or rents and charges and make such terms and conditions as may be agreed upon.

Giving of
security
before
supply
re-con-
nected.
23 & 24
Vict. c. 125.

23. The provisions of sections 15 and 16 of the Metropolis Gas Act 1860 which entitle the gas company to require security to be given before a supply of gas is provided shall extend to enable the Company to require security to be given before the Company restore a supply of gas which has been lawfully cut off or discontinued.

Fittings
let for
hire not to
be subject
to distress
&c.

24.—(1) Any engines stoves dynamos ranges pipes and other fittings for lighting motive power heating ventilating cooking or any other purpose let by the Company for hire and marked or impressed with a

sufficient mark or brand indicating the Company as the actual owners thereof—

(a) shall not be subject to distress or to the landlord's remedy for rent or be liable to be taken in execution under process of any court or any proceedings in bankruptcy against the person in whose possession the same may be; and

(b) shall notwithstanding that they be fixed or fastened to any part of the premises in which they may be situate or to the soil under any such premises at all times continue to be the property of and (subject to the provisions of the Hire Purchase Act 1938) removable by the Company.

1 & 2 Geo. 6.
c. 53.

(2) All fittings supplied by the Company under any hire purchase agreement shall until payment of the final instalment of the purchase money for such fittings be deemed for the purposes of this section to be fittings let for hire by the Company.

25. When at the request and for the convenience of any consumer the reading of any meter in any premises takes place at a time other than that of the usual periodical reading the Company may levy and recover such charges as they think fit not exceeding one shilling for each such special reading.

Charges
for
special
reading of
meters.

26. If the Company commence proceedings against any consumer for the summary recovery of any sum due for a supply of gas any other sum due or payable to the Company by the same consumer in respect of the sale of residual products or of the sale or hire of any apparatus or fittings supplied or provided by them for or in connection with the consumption or use of gas or in respect of the provision of materials and work in connection therewith or the fixing setting up or repairing altering maintaining or removal thereof may be included in the same summons and may be recovered summarily as a civil debt together with the sum due for the supply of gas provided that the total sum included in any one summons does not exceed twenty pounds.

Recovery
of charges
for gas
&c.

27. If a magistrate be satisfied on complaint by any officer of the Company that any person is quitting or about to quit any premises to which the Company supply gas and has failed to pay on demand any sum

Recovery
of sums
from
persons
removing.

which may be due from him to the Company and intends to evade payment of that sum by departing from the said premises the magistrate may (in addition to issuing a summons for non-payment of the sum) issue a warrant under his hand authorising the person named therein to seize forthwith and detain the goods and chattels of the defaulter until the complaint is determined on the return of the summons.

Authenti-
cation and
service of
notices by
Company.

28. Any notice to be served by the Company shall be sufficiently authenticated by the signature of the secretary or other officer of the Company for the time being authorised in writing by the directors being affixed thereto in writing or in print or by a stamp and any such notice may be served on such person either personally or by sending the same through the post by a prepaid letter addressed to him by name at his last known or usual place of abode or of business or by delivering the same to some inmate at his last known place of abode or business or to any inmate of the premises supplied or if such premises be unoccupied and the place of abode of the person to be served is after proper inquiry unknown it shall in the case of any notice (not being a notice to pay any charge) be sufficient to affix such notice or a copy thereof upon some conspicuous part of such premises.

Saving for
emergency
powers of
Treasury.
2 & 3 Geo. 6.
c. 62.

29. So long as the making of an issue of capital in the United Kingdom without the consent of the Treasury is prohibited by regulations made under the Emergency Powers (Defence) Act 1939 it shall not be lawful to exercise the powers of borrowing conferred by this Act without such consent.

Company
to promote
future Bill.

30.—(1) The Company shall not later than in the session 1945 promote a Bill in Parliament giving an opportunity for the amount of the basic price prescribed by the Act of 1927 to be revised.

(2) The London County Council and the council of any metropolitan or county borough within or partly within the limits of supply shall (subject to their complying with any relevant statutory requirements and standing orders of each House of Parliament) be entitled to be heard before the committee to which any Bill promoted for the purpose aforesaid shall be

referred as to whether the amount of the basic price prescribed by the Act of 1927 should be revised by such Bill and if so to what extent.

31. The following enactments are hereby Repealed:—

The Act of 1927.

Section 6 (Declaration of calorific value).

The Act of 1932.

Section 16 (Receipts for interest in cases of joint holders).

The Commercial Gas Act 1933.

Subsection (4) of section 3 (Housing authority not to impose restrictions as to form of light &c. to be used in houses).

23 & 24
Geo. 5.
c. xliii.

32. All costs charges and expenses of and incidental to the preparing for obtaining and passing of this Act or otherwise in relation thereto shall be paid by the Company and may be defrayed wholly or partly out of revenue.

Costs of
Act.

Printed by PERCY LUND, HUMPHRIES & Co., LTD.

FOR

MR WILLIAM RICHARD CODLING, C.B., C.V.O., C.B.E., Controller of His Majesty's Stationery Office
and King's Printer of Acts of Parliament

Ch. xiii.

*Commercial Gas
Act, 1940.*

3 & 4 GEO. 6.

To be purchased directly from H.M. STATIONERY OFFICE at the following addresses:
York House, Kingsway, London, W.C.2; 120 George Street, Edinburgh 2;
39-41 King Street, Manchester 2; 1 St. Andrew's Crescent, Cardiff;
80 Chichester Street, Belfast;
or through any bookseller

Price 6d. net